

TECH WORLD

PIERS BUCKWORTH

18 May 2026

MACRO:

The boss back in town, finally the bond market is flexing its muscles, and the world is paying attention. Notes over the last few weeks highlighted the pending economic / inflation data, an almost inevitable outcome given the nature of the situation. Global supply chains are choking up and inflation prints are coming in hot. Those PPI prints last week were of particular concern. Good old cost push inflation is in motion once again. How this ends is hard to call given oil prices being back in the 60s anytime soon seems a stretch, but the here and now is yields in Japan and the UK back to 1997 highs, US 10yr through 4.6, US 2yr through 4 and the next CPI print due on June 10th likely to start with a 4! Swaps are pricing in a 60% chance of us seeing a rate HIKE this year in the US and as Ed Yardeni correctly pointed out over the weekend, if the FED doesn't change its message soon the bond market will keep doing it for them in dramatic style. Bond markets will always tell everyone what to do and quite frankly refreshing to see.

Trump will soon be forced to tone down Iran rhetoric as let's be clear, the only thing he cares about is interest rates at the end of the day. With Kevin Warsh (a well-known inflation hawk) about to take his seat, the chances of him getting rate cuts anytime soon are essentially zero. That is of course unless this continues and growth ends up getting clobbered! China today showing the first real signs of pain, FAI, IP and Retail sales all significantly below expectations and commentary leaving little to the imagination re the pain being seen as a direct result of oil and Iran.

Given the record breaking rally in the parts of the market being priced off future growth it makes for an interesting summer! Duration is on the block here unless rates calm down. Of course, its not black and white out there quite yet, the speed of the move in rates has been worth paying attention to but the market is yet to get that moment of panic which would cause proper risk off in equities. This doesn't mention the fact that there are lots of things out there on sale right now, software is at a discount to semis not seen since 1980. Whether it is software and KWEB on sale or strong corporate earnings or the AI capex acting as a macro support pillar of this market there are still a number of people who take the view that the market is going to get through this oil and inflation shock just fine! .. Mike Wilson over at Morgan Stanley stands out, this guy has completely abandoned his traditional analysis of equity risk premiums and inflation dynamics and opted for an ALL IN momentum style approach to strategy. This one of the most fascinating 180 degree turns ever seen by any strategist in history. This guy is by nature a Perma bear and is now the number 1 cheerleader for the market at a time when its most definitely a moment for pause and consideration. This is in-line with so many other strategists who have become momentum traders disguised as analysts and strategists. Being mown over year after year by tech and momentum eventually breaks you!

Take a look at what's going on in Japan, no need to explain how important this is to the global rate structure..



SEMIS:

This has been the poster child for the exuberance seen in markets over the last few weeks, SOX made it to 64% above its 200dma, last seen in March 1999. This is being driven by historic re-ratings in memory as a result of a supply shortage as well as rampant demand across the entire AI capex supply chain. The question is how much has been priced in and how much is retail and options / momentum driven froth.

INTEL is probably the greatest example, its rallied 500% in 12 months after being priced for Armageddon in early 2025. They find themselves on 120x forward earnings and thus priced for utter perfection out to 2030. There are so many questions remaining over how they are going to take on Apple's foundry business given they don't have the 1.3nm process that TSMC have. This is why 9/10 high spec chips are made by them! .. There is no doubt that Intel have had a monumental turnaround under Lip-Bu's leadership and the CPU business is now exciting again after a shift in focus in the data center stack, but they are well over their skis for the time being. Intel was very exciting at 20 dollars and a move to 50-70 makes sense based on the progress we have seen but above 100 begs the question how are they going to deliver on these expectations.

MEMORY remains one of the most hotly debated parts of this semis story, the likes of Micron who are still 70% exposed to DRAM prices are trading on depressed multiples even after the 1000% rally. The reason for this being the cyclical nature of this market. Investors know that this time is unlikely to be any different regardless of calls for it being the end of the cyclical nature of memory! .. this is no doubt a super cycle and no doubt unlike any demand situation seen before in memory, not to mention to chronic lack of supply, but this is still a commodity and as such production can and will be ramped, not to mention the ever changing efficiency of these data centers and therefore their demand and requirement for memory. Trump has already made noise about getting the key producers together to ramp supply. Analysts have clambered over the top of each other to upgrade these names, (SNKD, MU, WDC, STX) and its clear that there may well be more upside, but the easy money has been made for the time being

and given they are all being priced off future growth its prudent to pay attention to that discount rate.. Memory is cheapest at the top, remember that.

MRVL needs another mention, those who were following notes back in the summer last year would have seen that this was a core long focus as their custom chips for the data center were gaining traction, not to mention their optical business. At that moment nobody wanted anything to do with them. Fast forward to today and they are 300% higher with analysts upgrading on a daily basis (of course the same analysts who didn't say a word previously) and AMD have disclosed a stake in them! .. To say the easy money had been made in MRVL would be an understatement, on 131x trailing and 46x forward the market is now pricing in a perfect scenario for them.

One could go on down the list of semis, (**NVDA** will be discussed in the **MAG7** section below) but there really isn't any need, watch the **SMH / SOX**, (speaks for itself) .. The distance this has travelled above its 200d needs to be paid attention to.



SOFTWARE:

The last few days have seen some more rational action, software has been bid up vs semis under pressure, as mentioned several times this relationship is aggressively stretched without the fundamentals to support it. As mentioned above the last time there was a valuation mismatch this dramatic was in 1980.. Software CEOs have driven home the message conference call after conference call that their software is not at risk of being disrupted by AI, in fact its enabling it as a platform and ecosystem for which it can be delivered to the customer. ADBE, ORCL, SNOW, TEAM, DDOG, MSFT all offer attractive value propositions, but the IGV captures them all and removes the idiosyncratic risk. That 200dma needs a test for starters.



MAG 7:

28% net income growth is the reason this group is called magnificent but lets break it down as a lot has been priced in for a few of these names vs value on offer for others. The group is no longer trading as one.

GOOG is without doubt the stand out performer in this group and the 13-Fs we have just been privy to make the point crystal clear that they are the go-to name in the professional community. What this means however is that its no longer cheap and the easy money has been made. Its hard to imagine this outperformance can continue without some form of consolidation period at the very least.

AAPL is the stealth name as it remains somewhat out of favor and underweight. They have looked attractive since they delivered their 17% revenue growth target the other day and its quietly broken out to all time highs. This underweight is being gently corrected as the market pivots to the high quality and defensive nature of their business and balance sheet. AAPL also needs to consolidate and calm down but on a relative basis looks attractive.

AMZN in a similar boat to AAPL given it was off the boil, but its now trading at ATHs on 31x forward with 15% revenue growth — expensive, but what's new. The market is now pricing in an optimistic scenario for their Trainium chips business as well as their AI strategy overall. Hard to get excited about risk / reward up here.

NVDA again was off the boil vs the semi complex but has played catch up over the last couple of weeks making its way into clear all time high territory. This is the big earnings event for the week, on Wednesday they report after market gets a look at those astonishing top and bottom line growth rates. The market is aware AI capex remains on fire and NVDA will provide more insight into their contribution but what its really about for investors is their ability to convince the market that these growth rates can continue in the face of growing competition from CPUs, TPUs, Graviton's and AI capex growth

trajectory in general. Its impossible to bet against NVDA until the market gets a meaningful signal that these growth rates are slowing, until such time they are actually cheap believe it or not. Having said that they too fit into the basket of stocks that are pricing in perfection and need to show more than perfect numbers. 78% revenue growth and 68% EPS growth is a high bar to jump over, lets see how the market digests it all on Wednesday. Last 2 earnings reports were amazing numbers being faded.

MSFT on 24x forward with 16% revenue growth — as cheap as it's been in many years. That price tag hinges on them maintaining growth and keeping AI at bay, Azure and 365 remain powerhouses until proven otherwise, fears over AI disruption are yet to have anything concrete to back it support it. Despite the obvious attraction, still representing this software view through a basket makes the most sense.

META the black sheep of the hyperscale family — they have failed to show any meaningful path to ROI whilst ramping capex aggressively. On 19x earnings with 25% revenue growth they are very cheap and that will provide support, but the market wants to see ROI. Watching it closely; the set up is attractive if they can show a path to return on investment.

TSLA lives in its own universe — not sure it should even be part of MAG7 anymore. It's BINARY: you either believe in their robotics and power future or you don't. If you do, close your eyes, hold your breath on the valuation, and look again in five years. No significant update on fundamentals over the last week.

FIBRE-OPTICS & PHOTONICS:

This space is where the real bubble-like action is being seen, euphoria and exuberance is the name of the game. Options driven melt ups are rife through this entire space. Lets go through some of the numbers across the stack.

LITE is the large cap liquid go to name in this space, trading on 182x trailing and 120x forward, that's on 82% revenue growth for 2026, no need to point out what this stock is pricing in.

COHR being the other large cap liquid name is trading on 150x trailing and 70x forward, that's with 21% revenue growth. EPS growth of 400% is the reason for the excitement, similar to memory though this is all coming from a very low base.

AXTI who provide the rare earth materials that go into the wafers have no earnings and are on 400x forward, 60x sales on 61% revenue growth. This stock is 40% above the most optimistic analysts assumptions and quite frankly is living in a dreamland at the moment. Retail of course have played their role ramping this into the stratosphere. Inflation or stock issuance (or both) will no doubt provide a reality check.

AAOI has done an amazing job of growing revenue, now guiding for 1bn in sales for the coming year, but even they are now on crazy multiples, no earnings trailing and 170x forward. 125% revenue growth is great but one is paying through the nose for it up here. Oh and they keep issuing stock!..

ALMU is the one that remains pre revenue albeit got one of the most interesting upside cases. They have rallied some 150% in the last month on the back of hype in the space but also and most importantly their new strategic alliance with Tower Semi and Sumitomo Chemical. This stock and idea is for the longer term but they are edging closer to commercial roll out, their conf call on earnings night last week didn't provide any further guidance on this so the stock is having the big selloff you would expect after that size rally into the event. Sitting patiently waiting for the announcement and in the meantime feel confident that the board is now packed with industry veterans, including ex INTC and NVDA executives as well as 17mn in major govt grants. Their market cap to be clear is still pricing in almost no

upside vs the group.

POET is the last but not least name to mention, this stock defines wild retail driven volatility. They collapsed 60% in 48 hours the other day as MRVL stepped away from their US\$5mn photonics order, the stock has since retraced the entire move and more on pure speculation to begin with then news they have secured a 50mn order from Lumilens. If this is real it most definitely takes them to the next level but trading on a market cap of 2.6bn USD with only one order for 50mn makes the point fairly clear as to where this is trading!

Exuberance is the name of the game in anything that involves the AI capex supply chain. This is a moment for pause, reflection, and protecting capital.

IMPORTANT DISCLOSURES AND DISCLAIMERS

General

This report (the "Report") has been prepared by Apex Trading and is provided for informational and educational purposes only. It does not constitute investment advice, a personal recommendation, or an offer or solicitation to buy or sell any security or financial instrument. The information contained herein should not be relied upon as a substitute for independent research or professional financial advice. Apex Trading is not authorised or regulated by the Financial Conduct Authority (FCA) or any other financial regulatory body.

No Investment Advice

Nothing in this Report should be construed as investment advice or a recommendation to purchase, sell, or hold any security. Any opinions expressed are the current opinions of the author at the date of publication and are subject to change without notice. Readers should consult a qualified financial adviser before making investment decisions.

Accuracy and Reliability

Information in this Report has been obtained from sources believed to be reliable. Whilst the author believes such sources to be reliable, no representation or warranty, express or implied, is made as to the accuracy, completeness or timeliness of the information contained herein. Opinions and views are those of the author at the date of publication and are subject to change without notice. Apex Trading does not undertake to update or correct this Report.

Risk Warning

Investing in securities involves significant risk, including the potential loss of all invested capital. The value of investments and the income derived from them can go down as well as up, and investors may not recover the amount originally invested. Past performance is not indicative of future results. Securities mentioned in this Report may not be suitable for all investors.

Conflicts of Interest

Apex Trading, its principals, employees, affiliates, and associated persons may hold positions (long or short) in securities discussed in this Report and may trade in such securities at any time without prior notice. Readers should assume that Apex Trading and its principals have a financial interest in the securities and topics discussed in this Report unless explicitly stated otherwise.

Intellectual Property

This Report is the intellectual property of Apex Trading. Reproduction, redistribution or transmission of this Report, in whole or in part, is prohibited without the prior written consent of Apex Trading, except for personal, non-commercial use.

Jurisdiction

This Report is published from the United Kingdom and is not directed at, nor intended for distribution to, or use by, any person or entity who is a citizen or resident of, or located in, any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation.

Limitation of Liability

To the fullest extent permitted by applicable law, Apex Trading, its directors, officers, employees and agents shall not be liable for any loss, damage, cost or expense arising from or in connection with the use of, or reliance on, this Report or any information contained herein, howsoever caused.

Contact

Apex Trading - apex-trading.co.uk